



Health Insurance

Basic terms used in healthcare

- Physicians / General Practitioners: Primary point of first contact for most individuals. Most localities have one or more GP's
- Diagnostics: Tests and other checks performed to diagnose the illness, usually prescribed by Physicians to start with
- Specialists: recommended by Physicians, e.g. Heart specialist, ENT specialist etc
- Medicines: Prescribed by any medical practitioner
- Hospitalization: Arises when illness requires services that are provided in a hospital environment, e.g. surgery
- Surgery: Act of being operated on by a surgeon. Typically requires post-care during the recovery phase

Types of Health Insurance

- Two broad types of Policies are available
- They both work on a similar approach of buying an insurance policy

Basic Medical Expense Policies

- Cover doctor visits at office or the hospital, laboratory services and other care outside the hospital
- **Do not** generally cover **additional or major** expenses

Comprehensive Medical Coverage

- Cover large medical expenses associated with major illness or injury
- Cover almost everything, up to certain scheduled benefit limits
- Costs are contained via **Deductibles, Coinsurance** and **Co-payments**

Cost aspect of Health policies

Deductible

- The amount the policy holder must pay before the plan pays anything
- Once paid, it is done.
- Certain plans include services that are always available (e.g. baby care)

Coinsurance

- Is a % of the expenses paid by the Insurer after deductible has been met.
- E.g. if expense is 50K and deductible was 10K, then coinsurance % is applied on $50 - 10 = 40K$

Co-payments

- A set amount that Insurer will pay for a service, e.g. a doctor visit of Rs 1000
- Does not depend on Deductible or Coinsurance

Maximum out-of-pocket (**MOOP**) is a cap on the total expense payable by the Insured. E.g. Beyond 30000, insurer will pay all costs

Managed Healthcare Plans

- These arose in the USA to address rising cost of healthcare and are now widespread

Capitation

- Fixed fee paid to physicians per plan subscriber that names that physician as primary care giver
- e.g. locality physician has 10 such patients, so gets 10 x Fixed fee. Care is provided case to case
- Negotiated fee reductions are used for specialists

Health Maintenance Organization HMO

- Fixed premium provides access to a healthcare network provided by the insurer
- Here, Insurer is both the financier and the provider of healthcare
- Physicians are gatekeepers, and guide policyholders within this network for further healthcare

Preferred Provider Organization PPO

- Business entity formed by medical professionals and hospitals
- They contract with an Insurer and negotiate increased business in return for lower fees
- Policy holders can choose to use this network or go elsewhere (and pay the difference)

Point Of Service POS

- Use gatekeeper approach (like HMO) to keep costs down
- Like PPO, policyholder decides where to go for treatment, and benefits vary accordingly

Long term care

- Need for this arises due to extended life expectancy
- As people grow older, they need ongoing medical care rather than the immediate benefit of shorter-term hospitalization
- This typically covers care at home, as an outpatient or extended care at a nursing home

Skilled nursing care

- Highest level of care
- Refers to a 24x7 availability of a trained nurse under a doctors supervision

Immediate care

- Rehabilitative or less-intensive nursing care
- Does not require 24x7 care by nurse or physician

Custodial care

- Non-medical but necessary Activities of Daily Living (ADL)
- Refers to assistance while bathing, moving around, eating etc
- Can be at home or a managed premises

Features of LTC

- **LTC policies have following features**

- **ADL** a list of activities. If policyholder is unable to perform any of these, they are eligible for benefits. E.g., mental ailments like Alzheimer's triggers this benefit
- **Coverage amount** typically is a per day reimbursement based on the premium value. This amount can be set by the advisor based on nursing cost in each location
- **Elimination period** usually the first 90 days from when an ailment is diagnosed. During this period, the individual has to pay all expenses for care
- **Benefit period** the policy period following the elimination period when the insurer pays. Typically range from 2 to 10 years and benefit period is adjusted as follows.
 - Policy is for \$100 per day, i.e. \$3000 per month and has benefit period of 5 years. Hence total benefit pool is $3000 * 12 * 5 = \$180,000$. If the benefit is not used, the benefit period is extended. Similarly, if a smaller amount is used (e.g. 2500) then the residual \$500 amount remains in the pool and adds 5 days to the benefit period.
- **Waiver of premium** often these policies will waive premiums during periods of healthcare, provided policyholder has made sufficient payments to qualify for benefits.

Features of LTC

- **LTC policies have following features**

- **Respite care** covers situations when a professional care giver is temporarily hired to give respite to a family member who is normally the primary care giver. Since this cost is far lower than moving the patient to a nursing home briefly, it is covered.
- **Additional features** typically things like bed reservation at a nursing home, spousal discount for coverage, shared benefit policies etc
 - E.g. shared benefit policy has pool of \$200,000 which can be used by either partner
- **Common riders** can be added at additional cost
 - Inflation rider: Increased coverage for inflation, either as a fixed % or a compounded rate
 - Return of premium: In event of no claim (or lower claim), premium amount will be returned
 - Restoration of benefits: Add back of any claimed expense in event that patient recovers from the ailment and is healthy for 6 months at least thereafter. E.g. 50K received during ailment, 6 months after recovery this 50K added back to pool.
- **Hybrid Policies** typically allow one to add LTC to either a Life Insurance or an Annuity policy, providing additional cover for a marginal cost



Disability Insurance

Sources of coverage

- Usually four routes are available

Government	Group policies	Long term group policies	Individual
• provides this in form of either worker compensation or a separate program • Usually somewhere between 2 years to full life	• Used by companies • Either short term (up to 1 year) or long term • Short term have low Elimination Periods	• Cover extended disability • Capped to % of income (e.g. 60% of income up to Rs 30,0000) • Elimination period 3-12 mts	• Similar approach to group policies • Can be Short / Long term • Premiums also factor in occupation class

Features of DI

- **DI have following features**

- **Benefit amount** based on income of insured. Typically, **60-70% of work income**
- **Benefit period** typically short term (0.5 – 2 years) or long term (e.g., up to 65 age or full life). Subject to Elimination period. White collar workers typically get better deals.
- **Definition of disability** critical in determining benefits. Three definitions, based on which an Injured is considered disabled **if he or she cannot work**:
 1. In **any** occupation: Most restrictive, the person get benefit only if **unable to work at all**
 2. In any occupation **for which the person is qualified**: Less restrictive, the person gets benefit if the new job is below their experience or qualifications
 3. In **own** occupation: Least restrictive, the person gets benefit if the new job is not the same as the old job
- **Split definition** uses a combination of two definitions, e.g. In own for first 2 years, followed by qualified for next 3 years to encourage people to return to work

Features of DI

- **DI have following features**

- **Presumptive disability** includes loss of sight, hearing, speech, both hands or feet, or one hand or foot, and resulting in **full benefits being paid**
- **Conversion** Group policies cannot normally be converted to individual coverage. A few providers however offer **professionals** a 30-day window on termination of employment to convert their group policy into a personal policy if desired.
- **Common provisions** include
 - **Misstatement of age** results in benefit adjustment to the amount applicable for true age
 - **Grace period** is typically 30 days or less for premium payments
 - **Reinstatement** if allowed by policy owner requires proof of insurability
 - **Relation of earnings** protects the insurer in cases when a policy holder may look to profit by becoming disabled (e.g. bought when salary was high, then salary dropped after which disability was claimed, hoping to get benefits at earlier higher salary levels). This clause lets insurance company do financial underwriting at time of claim, to check if current income is substantially lower than income when policy was issued and reduce benefits accordingly.

Premiums, Benefits and Continuation of DI

- **DI have following features**
 - **Premiums** are based on a rate per unit (e.g. \$100) of monthly benefit. E.g.
 - \$550 annual premium for a \$1000 per month benefit (i.e. premium ~50% of monthly salary)
 - This is relatively high, but remember you are protecting your earnings which is your biggest asset
 - **Benefits** accrue on a disability post any Elimination period that is applicable. E.g.
 - Assuming a 90-day elimination period in a one-year disability period, one would receive \$9000 in benefits. This is equal to 16 years' worth of premiums.
 - **Continuation provisions** The **better the renewal provisions, the higher the premium**
 - **Noncancelable** means automatic renewal at the old premium stated in the contract. Favors the policyholder, so most Insurance companies have discontinued this clause
 - **Guaranteed renewable** means automatic renewal, with a rate revision only if it is applied to an entire policy class. This forces insurance companies to not discriminate against a specific insured.
 - **Non-guaranteed Continuation** prevents policy holder from getting automatically renewal. Insurer can cancel policy by giving notice as per contract OR cancel without reason on its anniversary

Loss of Income policies

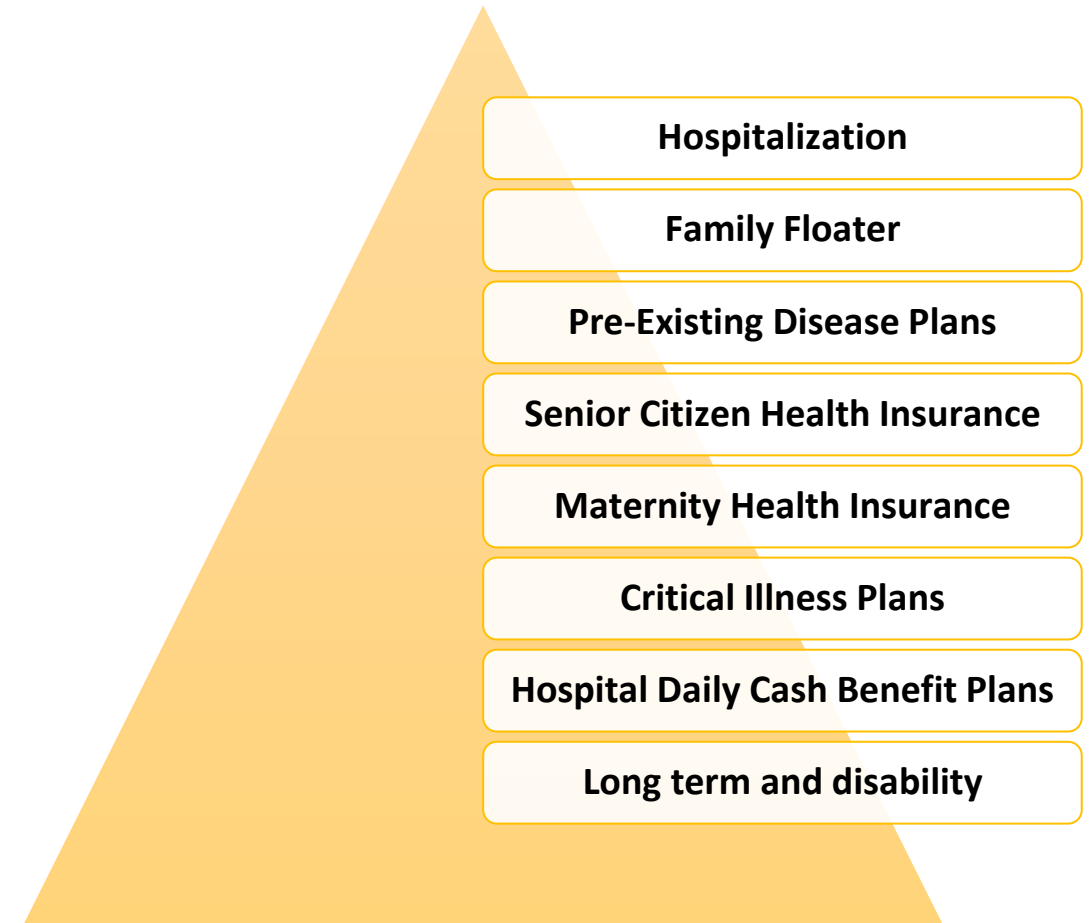
- Are a **popular variant** of Disability policies
- Cover for cases when due to an illness or disability, there is a loss of income **however the policy holder is able to work** nevertheless
- It does not use a disability definition, hence
 - Point from which income was **lost** (income earned method) **or dropped** (income received method) must be identified
 - Factors like hours worked per week or resumption of duty are considered
 - Both types of methods lead to substantial differences in benefit calculation
 - Such policies must define average earnings to base the % loss of income on
 - Better policies look to add impact of inflation to the loss period
 - Such policies will start providing benefits when income drops by a defined % (e.g. 20% drop or 80% drop etc)



Health insurance in India

Health Insurance

- Health insurance plans reimburse the insured for their medical expenses, which includes treatments, surgeries, hospitalization and likewise expenses which arise from injuries or illnesses.
- In India, health insurance usually reimburses for only hospitalization and for treatment at hospitals when the insured is hospitalized for at least 24 hours. The expenses for nursing, hospital bed, fees of surgeon or doctor's consultation fees, operation theatre charges are covered in most of the cases.
- In India, the Mediclaim policies were the first health policies. With the coming of private insurers, Indian insurance market saw the introduction of many innovative products like family floater plans, top-up plans, critical illness plans, hospital cash and top-up policies.



Criteria's to look before purchasing
Health Insurance Plans

How can one claim Health Insurance?

➤ Cashless:

- In case of a cashless settlement, also called direct payment, the insurance company directly settles the admissible claim amount with the concerned hospital; and the insured person pays to the hospital those expenses which are not covered under his health insurance policy. Under the cashless scheme, the policyholder, and all those who are mentioned in the policy, can undertake treatment from the hospitals approved by the insurer.



➤ Reimbursement:

- In case the policyholder is admitted in a hospital which is not under the network of his insurance company, he will have to make all the payments on his own to the hospital, and after staying for the duration of his treatment he has to submit these original bills/papers, along with the claim form, to the insurance company for reimbursement of his expenses, within the policy limits.





Strategic Solutions

Determine appropriate risk management technique to use

- What high-priority risks are being carried currently? E.g.
 1. If family with dependents, death or loss of income?
 2. Catastrophic loss of your house or personal liability
 3. Medical expenses or long-term care expenses?
 4. Disability exposure, if risky workplace or health issues
- Which risks can be avoided or reduced
 - Avoidance has practical considerations
 - Reduction requires actions to be taken
 - E.g. security systems to protect from theft or fire systems
- Review current insurance and optimize
 - Insurance has a cost and it provides a benefit



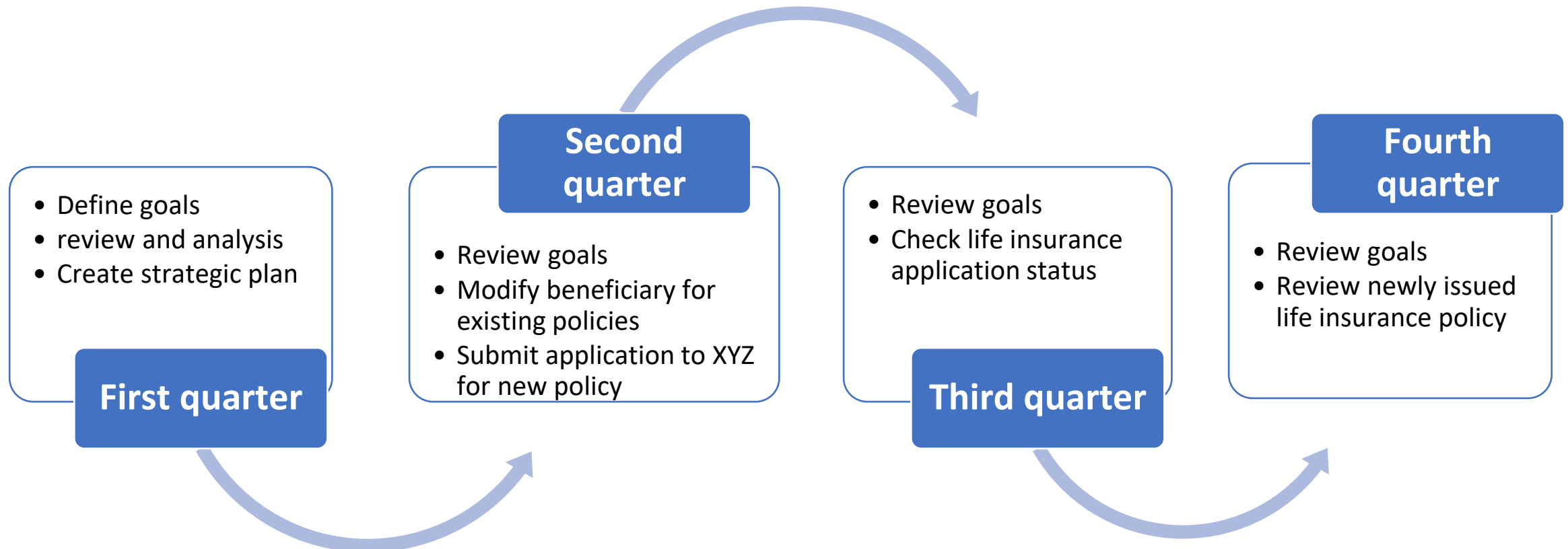
Optimize plan

1. Optimize the final risk management plan
 - How much of the risk to cover
 - Approach to be followed
2. Sample of an optimizes recommendation as below

Personal Liability	Premature death	Long term disability	Healthcare
• Inadequate coverage of car and personal liability given net worth • Purchase umbrella policy and increase underlying limits	• Has enough assets to cover last rites and dependent incomes • Identify assets to liquidate in event of death for final expenses. • No insurance needed	• Existing employer covers 50% of current income • Ideal cover is 66% • Purchase extra cover and confirm no clash with employer cover	• Existing employer and government healthcare covers potential medical expense exposure • No action required

Build a Road Map for Risk Management

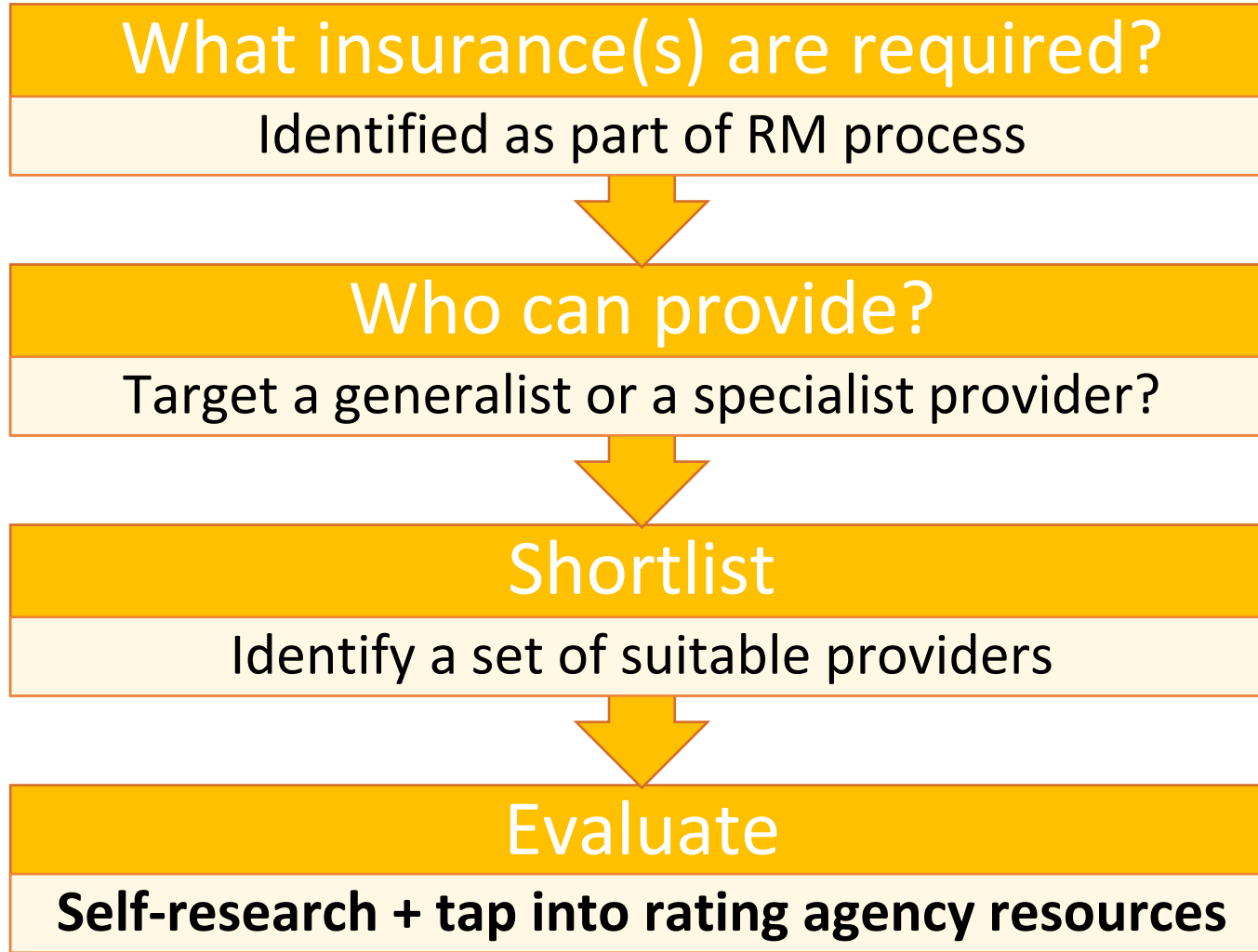
- The illustration below is an example of how an advisor might construct a risk management roadmap .





Selection and execution

Evaluation is a 4-step process



About NAIC

- **What it does:** Creates rules (called a Watchlist) to oversee the Insurance arena in USA
- **How it works:** If a company has **4 of its 12** ratios outside the “usual ranges,” it is put on the **NAIC Watchlist** and selected for *immediate regulatory attention*, *targeted regulatory action*, or *no regulatory action*, depending on the problem ratios and the extent to which they are outside of the “usual ranges.”

Net change in
Capital & Surplus:
> -10% and <50%

Gross change in
Capital & Surplus:
> -10% and <50%

Net gain to Total
Income: >0%

Commission &
expenses to
Premiums and
deposits: <60%

Adequacy of
Investment
Income: >100%

Non-admitted to
Admitted Assets:
<10%

Real Estate to
Capital & Surplus:
<200% if >\$5mill;
<100% if ≤ \$5mill

Investments in
Affiliates to Capital
& Surplus: <100%

Surplus relief: >-
99% if >\$5mill; > -
10% and <10% if ≤
\$5mill

Change in
premium: > -10%
and < 50%

Change in product
mix: < 5%

Change in asset
mix: < 5%

Why use NAIC: As it evaluates Risk-based Capital

- To pay valid claims, an Insurer requires Capital
- NAIC therefore uses the 12 ratios to measure the **minimum amount of capital** an insurer requires to support its business operations.
- These 12 ratios are aggregated into 4 core risk categories
 1. **Asset Risk:** An asset's default of principal or interest or fluctuations in market value because of market changes.
 1. **Credit Risk:** Default risk on amounts that are due from policyholders, reinsurers or creditors.
 1. **Underwriting Risk:** Risk arising from underestimating liabilities from existing business or not properly pricing prospective business.
 1. **Off-balance Sheet Risk:** Excessive rates of growth, contingent liabilities or other non-balance sheet items.

Intermediary Selection and Responsibilities

- Rather than Financial Stability, here we need to evaluate agents intent and ability

Competence & intent to service

Is the agent keen to listen, meet and help



Experience, Specialization, Training

Experienced and informed on policies and terms



Reputation

Most important, is agent likely to fraud or misrepresent



Policy Components

- Once the proposer buys the insurance policy, the insurer sends him a printed copy of his policy document, along with the receipt of payment.
- Every policy document contains standard sections, also called components, which list out the terms and conditions, facts, statements, the do's and don'ts.
- The insurance regulator IRDAI and the Insurance Act, 1938 mandate provisions which need to be featured in the policy component.
- All the important aspects of the insurance contract, framed in a policy, are listed in the policy document under various components. For a general insurance policy, the three crucial components of insurance policies are the premium, the policy limit, and the deductibles.

Heading

Preamble

Operative
Clause

Policy
Schedule

Signatures

Exceptions

Conditions

Policy Component: Conditions

- All policy documents list down, under different sections, the terms and conditions of the policy to be followed by the policyholder. It also lists their rights and privileges as a customer of the policy. The motive is to educate the policy holder on all aspects of the product purchased by him.
- By doing this, the insurer expects the policy holder to maintain his policy for the entire term in a rightful way so that there are no claim denials or the policy does not lapse for lack of information.
- Given below are some of the important sections covered in the insurance policy document:

1. Definitions of words and phrases used in the policy document

2. Benefits covered under the plan

3. Claim process

4. Premium payment

5. Assignment and nomination

6. Termination of policy

7. Dispute redressal process

8. Communication and notices

9. Governing laws and jurisdiction

10. Details of Ombudsman